

vii. Tax Saving Fixed Deposits

A Tax-saving FD is similar to a regular FD but offers you a tax deduction under Section 80C of the Income Tax Act. By investing in a tax-saving FD, any investor can claim a maximum deduction of ₹1.5 lakh per year but it has a lock-in period of 5 years.

Also, it comes under ETE (Exempt-Taxable-Exempt) status which means while the investment and maturity amounts of a tax-saving FD are exempt from tax, the interest or returns are fully taxable.

5. Recurring Deposits (RD)

A Recurring Deposit (RD) account is an investment tool that allows investors to make regular monthly investments and save money over a specified period.

Investors can choose the tenure of the deposit and the monthly payment amount based on their convenience.

If you want to save for a short-term goal like a vacation or buying an electronic gadget, RDs are a good option for you.

